should lay down the framework for development, licencing and regulation of infrastructure financing in the private sector. Government owned and funded infrastructure financing institutions, to be regulated by the authority under the NABFID Act, should be made commercial in nature first (by stopping further infusion of government equity and handing over the management to a professional board) and eventually privatized.

Reform of Pension Funds

Starved of yields in government securities, the pension funds of developed countries have made significant changes in their investment strategies and assets.

The global pension fund industry is estimated to be about $50 trillion. According to an OECD report titled *Pension Markets in Focus 2020*, total pension assets under management in retirement savings plans were $49.2 trillion in the OECD countries at the end of 2019. The total corpus of retirement savings assets in the rest of the world was only $1.7 trillion.

With the yields of treasury and other corporate bonds going down substantially in OECD countries, there has been a massive change in the investment pattern of pension funds for the past twenty to twenty-five years. In 2009, according to the report, asset allocation for bonds and bills (debt) was 52.4 per cent, equities 19.6 per cent, cash and cash equivalents 8.3 per cent, and the balance 19.7 per cent in alternative assets like exchange-traded funds, emerging market assets, real estate, etc. In 2019, the proportion of assets invested in bonds and bills went down further to 43.6 per cent while investment in equities went up to 26.8 per cent. With cash and cash equivalents constituting about 6.9 per cent of the corpus, the remaining 22.7 per cent was invested in alternative assets.

In the past thirty years, declining yields on debt investments have been augmented by an increase in mark to market valuation realized by selling debt assets. With bond yields providing negative or close to zero returns in